

# Investment thesis 1: AI is a hardware boom, and Asia owns the chokepoints

## Taiwan, Korea and Japan each control a bottleneck



### Taiwan: makes the chips

- HPC/AI 58% of TSMC revenue (2025); 3nm sold out through 2026
- TAIIEX record 48,476 (2 Oct 2026), ~+67% YTD; TSMC >40% of the index

~70%

TSMC share of global foundry revenue (Q1 2026)



### Korea: makes the memory

- DRAM contract prices +45–50% q/q in Q2 2026; server DRAM still undersupplied
- KOSPI forward P/E 7.8x vs 23x trailing: earnings, not just multiples

83%

SK hynix (50%) + Samsung (33%) share of HBM revenue (Q2 2026)



### Japan: makes the tools

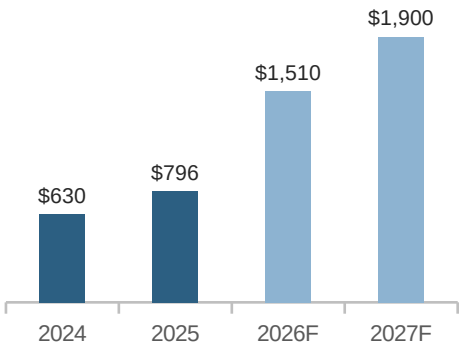
- Test equipment +31% and DRAM equipment +39% in 2026 (SEMI)
- Advantest + Tokyo Electron ≈ 20% of the Nikkei 225; forward P/E 17.2x

~55%

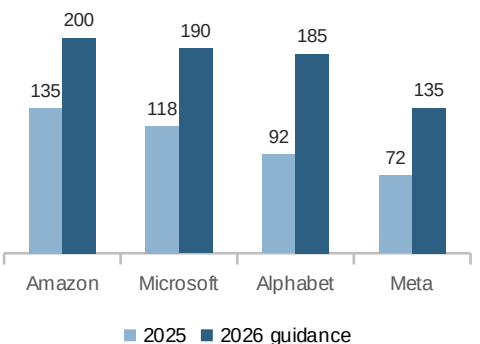
Advantest share of chip test equipment

## Demand is surging, but the cycle is maturing

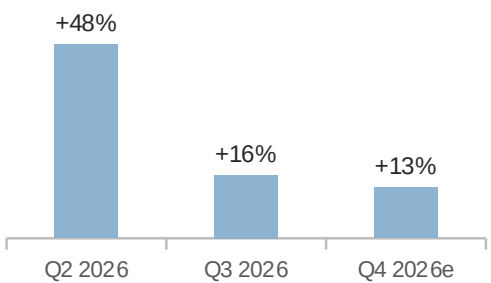
Chip market, US\$bn (WSTS)



Hyperscaler capex, US\$bn



DRAM contract price, q/q



### Cycle check

- Memory prices still rising, but gains slowing (midpoints of TrendForce ranges)
- US 25% tariff on some advanced chips since Jan 2026 (Section 232)
- **Structural demand, cyclical prices: the theme and its risks come together**

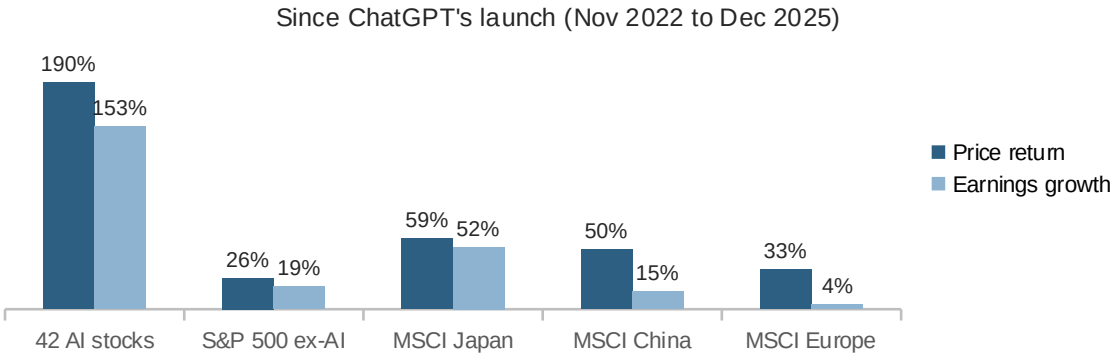
Sources: Counterpoint (foundry, HBM); TSMC; Trading Economics / TWSE; TrendForce (DRAM, range midpoints); Sibilis (P/E, 1 Jul 2026); SEMI (14 Jul 2026); WSTS (2025 actual \$795.6bn; 2024 implied; 2026–27 Spring 2026 forecast); company reports and guidance midpoints (capex; Microsoft 2025 calendar-year estimate); White House Proclamation 11002.

Whichever AI model or company wins, it needs Taiwan's chips, Korea's memory and Japan's tools.

# J.P. Morgan's 2026 Outlook: the AI moat is real, and so are its cracks

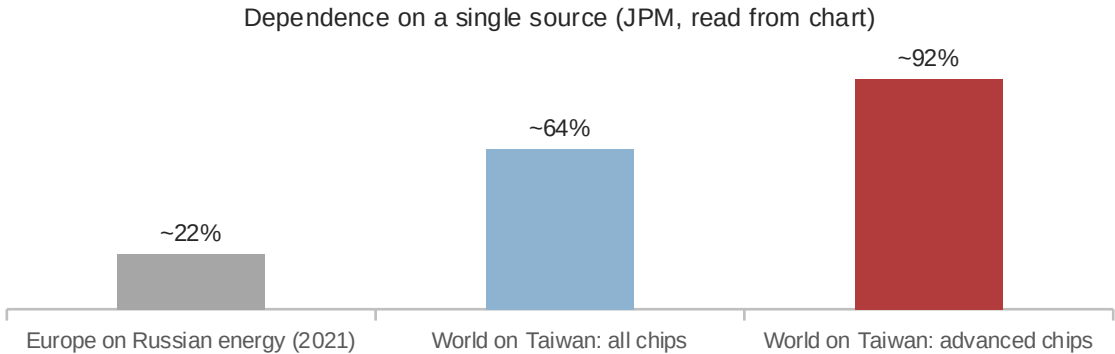
"Smothering Heights: is the largest moat in market history indestructible?" (M. Cembalest, J.P. Morgan Asset & Wealth Management, 1 Jan 2026)

## The theme is the market



|                         |                                                                                        |
|-------------------------|----------------------------------------------------------------------------------------|
| <b>\$3trn → \$18trn</b> | Market cap of 4 hyperscalers + NVIDIA, TSMC, ASML, AMD in ~7 years: ~20% of MSCI World |
| <b>65–75%</b>           | Share of S&P 500 returns, profits and capex since Nov 2022 from 42 AI-linked stocks    |
| <b>8 of 10</b>          | Of the world's 10 largest companies depend heavily on TSMC supply                      |

## ...but the moat has cracks



|                   |                                                                                                                             |
|-------------------|-----------------------------------------------------------------------------------------------------------------------------|
| <b>10–11 days</b> | Taiwan's gas storage; LNG is 40% of its power and 90% of energy is imported: "the most blockade-sensitive advanced economy" |
| <b>\$1.3trn</b>   | Hyperscaler capex + R&D since 2022: risk of a "Metaverse moment" (Mag 7 fell 50% in 2022)                                   |
| <b>–10–15%</b>    | JPM's base case: a correction at some point in 2026, then markets end the year higher                                       |

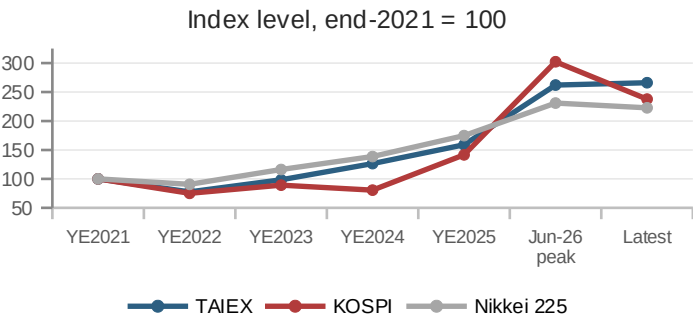
Source: J.P. Morgan Asset & Wealth Management, Eye on the Market, 2026 Outlook "Smothering Heights" (M. Cembalest, 1 Jan 2026), pp. 1–2, 7, 33–35, 46; underlying data Bloomberg, USITC, BP, ROC Taiwan, Global Guardian. Reliance values read from JPM's chart (approximate).

J.P. Morgan's view: the AI moat drives the market, but concentration, Taiwan and capex payback are the key risks for 2026.

# Investment thesis 2: A strong theme on a fragile path

## Economic aspect: growth is structural, the path is not

A violent, concentrated and late-cycle equity market



### Growth is structural...

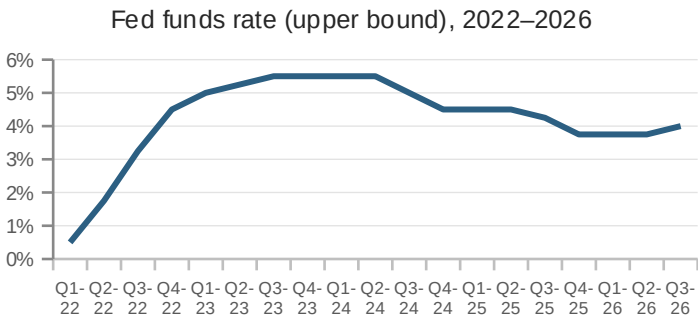
Capex +77% and chip market +90% in 2026 (thesis 1).

### ...but the path is violent

Down 10–25% in 2022, then 2–3× since. KOSPI fell 8.95% in a single day (13 Jul 2026).

## Finance aspect: rates and volatility have changed

Rates are high and rising again; volatility is at records



### The Fed is hiking again

16 Sep 2026: +0.25% to 3.75–4.00%, the first hike since 2023; median dot 4.1% for end-2026.

### Markets price more

~87% probability of at least one further move priced by futures.

1

-25%

### Round trips happen fast

KOSPI hit 9,000+ in June (~+110% YTD), then 6,789 on 28 Aug: about -25% in ten weeks. J.P. Morgan's 2026 base case includes a 10–15% correction.

2

>40%

### Returns hinge on a few names

TSMC is >40% of the TAIEX, Samsung + SK hynix ~48% of KOSPI, Advantest + TEL ~20% of the Nikkei. ~92% of advanced chips come from Taiwan.

3

38.6×

### Valuations price in a lot

Nikkei CAPE 38.6×; Taiwan among the most expensive markets; KOSPI's 7.8× forward vs 23× trailing P/E assumes earnings triple, while DRAM price gains slow.

1

-4.0%

### Long bonds carry rate risk

A 5-year bond loses about 4.0% of its value for every 1% rise in rates, just as the Fed turns hawkish again.

2

91.2

### Volatility is at records

VKOSPI closed at an all-time high of 91.2 on 9 Jun 2026, above the 2008 crisis peak; Korea's circuit breakers fired three times in June.

3

75.8%

### High rates make guarantees cheap

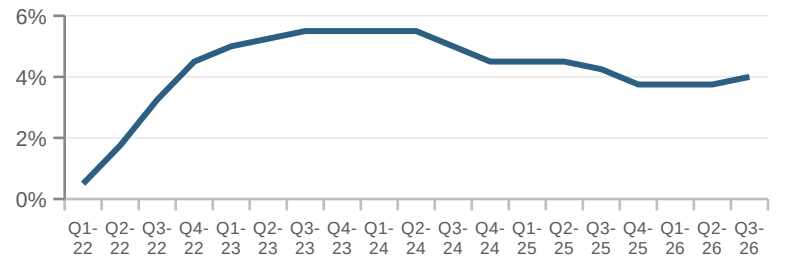
At a 5.69% 5-year USD funding rate, USD 100 payable in 5 years costs only USD 75.8 today.

Sources: TWSE, KRX/press, Nikkei (index levels; 2021–23 KOSPI/Nikkei to verify); Asiae, FN News, BIT Research (KOSPI); J.P. Morgan 2026 Outlook; Trading Economics, Sibilis (valuations); TrendForce; Federal Reserve via Advisor Perspectives; Herald / SBS (VKOSPI); case funding grid; standard bond maths.

# Investment thesis 2: Traditional strategies fall short in 2026

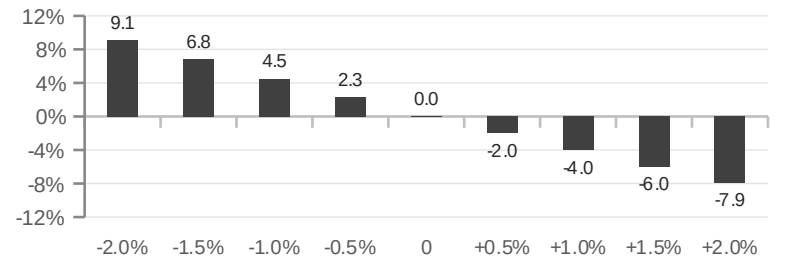
Long bonds face rising rates; buy-and-hold equity faces record volatility, concentration and stretched valuations

## Rates are rising again



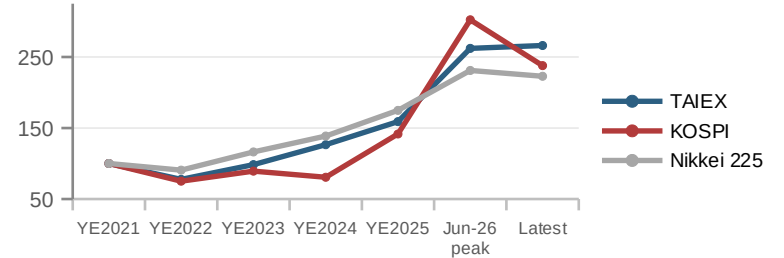
Fed funds upper bound: hikes 2022–23, cuts 2024–25, a hike again on 16 Sep 2026 (median dot 4.1% for end-2026).

## Long bonds carry rate risk



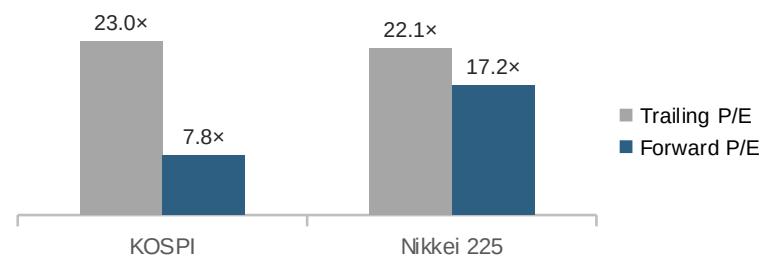
Value change of a 5-year USD bond (5.69% coupon) for parallel rate moves of –2% to +2%.

## Equity paths are violent



Index levels, end-2021 = 100: –10–25% in 2022, then 2–3×. KOSPI fell ~25% from June to late August 2026.

## Valuations already price in a lot



Siblis Research, 1 Jul 2026. Korea's gap assumes earnings roughly triple; Nikkei CAPE 38.6×; Taiwan among the most expensive markets.

## Implications

- Bonds: duration hurts:** A 5Y bond loses ~4.0% per 1% rate rise as the Fed hikes again
- Stocks: drawdowns are fast:** –25% in ten weeks (KOSPI 2026); –25–36% in 2022
- Concentration: few names drive all:** TSMC >40% of TAIEX; Samsung + SK hynix ~48% of KOSPI; ~92% of advanced chips from Taiwan
- Volatility: at records:** VKOSPI closed at 91.2 (9 Jun 2026), above 2008; circuit breakers fired 3 times in June
- Cycle: late and priced:** DRAM price gains slowing; J.P. Morgan's base case has a 10–15% correction in 2026

The theme is attractive, but holding it through plain bonds or plain equities leaves investors exposed to rate, drawdown and concentration risk.

Sources: Federal Reserve via Advisor Perspectives; TWSE, KRX/press, Nikkei (index levels); Siblis Research (P/E); Herald / SBS (VKOSPI); TrendForce; J.P. Morgan 2026 Outlook; case funding grid with standard bond maths.

# Appendix: sources for the investment thesis

| Fact used                                                                                                                       | Source                                                                            |
|---------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------|
| TSMC ~70–73% of global foundry revenue (Q1 2026); HPC 58% of 2025 revenue; 3nm sold out through 2026                            | Counterpoint via press; TSMC results (verify in TSMC quarterly reports)           |
| TSMC >40% of TAIEX; TAIEX record 48,476 on 2 Oct 2026 (~+67% vs 2025 close 28,963.6)                                            | Trading Economics (Jul, Oct 2026); TWSE 2025 Market Highlights                    |
| HBM revenue share Q2 2026: SK hynix 50%, Samsung 33%, Micron 18%                                                                | Counterpoint Research, Global DRAM and HBM Market Share                           |
| DRAM contract prices: Q2 2026 +45–50% q/q (consumer), Q3 +13–18%, Q4e +10–15% (conventional)                                    | TrendForce via press (May–Sep 2026)                                               |
| Advantest ~55–58% of test equipment; TEL ~90% of coater/developers; Advantest 12.2% of Nikkei 225                               | Industry research summaries (verify in annual reports); Nikkei Asia               |
| KOSPI forward P/E 7.8x, trailing 23.0x; Nikkei forward 17.2x, CAPE 38.6 (1 Jul 2026)                                            | Siblis Research                                                                   |
| Hyperscaler capex ~USD 725bn in 2026, +77% y/y                                                                                  | Company guidance after Q1 2026, via AI Weekly / Yahoo Finance                     |
| Chip market ~USD 1.5trn in 2026 (+90%); equipment USD 165.9bn (+23.2%), DRAM equip. +39%, test +31%                             | WSTS Spring 2026 (2 Jun 2026); SEMI mid-year forecast (14 Jul 2026)               |
| US 25% Section 232 tariff on a narrow set of advanced logic chips from 15 Jan 2026                                              | White House Proclamation 11002, via Perkins Coie / Mondaq                         |
| Fed +0.25% to 3.75–4.00% on 16 Sep 2026, first hike since 2023; median dot 4.1% end-2026                                        | Federal Reserve decision, via Advisor Perspectives                                |
| VKOSPI record close 91.23 (9 Jun 2026), above Oct 2008 (89.30); 83.58 on 5 Mar 2026                                             | Herald Corp; SBS; FN News (Jun 2026)                                              |
| KOSPI 9,000+ in June (~+110% YTD), 6,789 on 28 Aug 2026                                                                         | BIT Research; FN News / Shinhan Securities (31 Aug 2026)                          |
| 2022: TAIEX –31.6% peak to trough; KOSPI –24.9%; SOX –36%                                                                       | TWSE 2022 Market Highlights; Korea Times; Bloomberg via BNN                       |
| Japan buybacks ¥18.7trn FY2024, ~¥20trn FY2025e; Korea Value-Up Index +30% vs KOSPI 200                                         | Asset Management One via portfolio institutional; AllianceBernstein               |
| 42 AI stocks = 65–75% of S&P 500 returns/profits/capex; ~92% of advanced chips from Taiwan; 10–15% correction in 2026 base case | J.P. Morgan AWM, Eye on the Market 2026 Outlook "Smothering Heights" (1 Jan 2026) |
| 5Y bond value change for –2% to +2% rate moves; 5Y discount factor 75.8%                                                        | Standard bond maths on the case USD funding grid (5Y 5.69%)                       |

Several figures are forecasts or third-party estimates; numbers marked 'verify' come from a single secondary source. Full URLs: [deck/thesis\\_sources.md](#).